

EXPERT TAKE

FOLLOW THE MONEY

The U.S. Corporate Tax Base That Now Resides in Ireland

America's largest companies often pay more tax in Dublin than they do in D.C.

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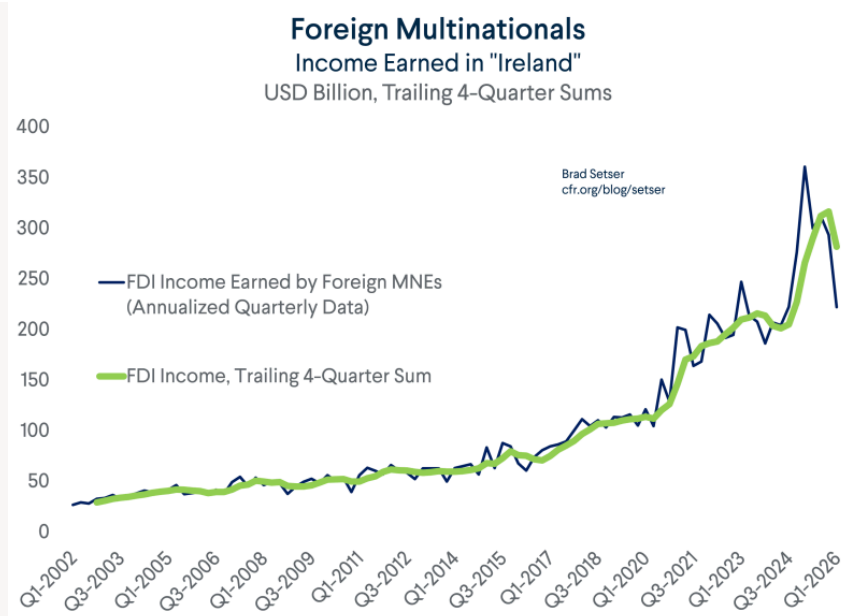
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Foreign multinationals, mostly American multinationals, booked just under \$300 billion in profits in Ireland last year.

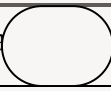




That isn't just because Ireland used to have a 12.5 percent headline corporate tax rate, and its current 15 percent rate on large firms is below the U.S. headline rate of 21 percent.

Ireland also permits deductions for qualifying expenditure on intangible assets, including the purchase of intra-group intellectual property, which can substantially reduce firms effective Irish tax rate.* And since Ireland is a member of the OECD and most firms now want to book their profits in "BEPS" compliant jurisdictions, Ireland is the center for corporate tax avoidance that isn't (quite) a pure tax haven.

The names of the firms that take the most advantage of lower tax rates in Ireland aren't exactly a secret.

Apple—widely thought to be Ireland's largest individual taxpayer that  its mostly Irish \$80

billion “global” profit—hasn’t reported the amount of cash it paid the Irish government in 2025.

Microsoft has reported the tax it pays the Irish government. Per its latest 10-K (p.75), in FY 2026, it booked over 80 percent of its \$62.5 billion international profit in Ireland. Microsoft also reports that it actually paid \$6.5 billion to the Irish government (and another \$5.5 billion in tax in other foreign jurisdictions), more than the \$6.25 billion it paid to the U.S. Treasury. Paid here means a transfer to the Irish treasury, not a set aside to cover expected FY 2026 taxes.** It set aside \$12 billion to cover expected 2026 foreign tax payments, and \$2.5 billion for expected U.S. federal income tax.

Eli Lilly, like Microsoft, paid more in tax to Dublin than to D.C. Eli Lilly’s 10-K states that it paid \$6.6 billion in tax to Ireland in 2025, and only \$3.3 billion to the U.S.

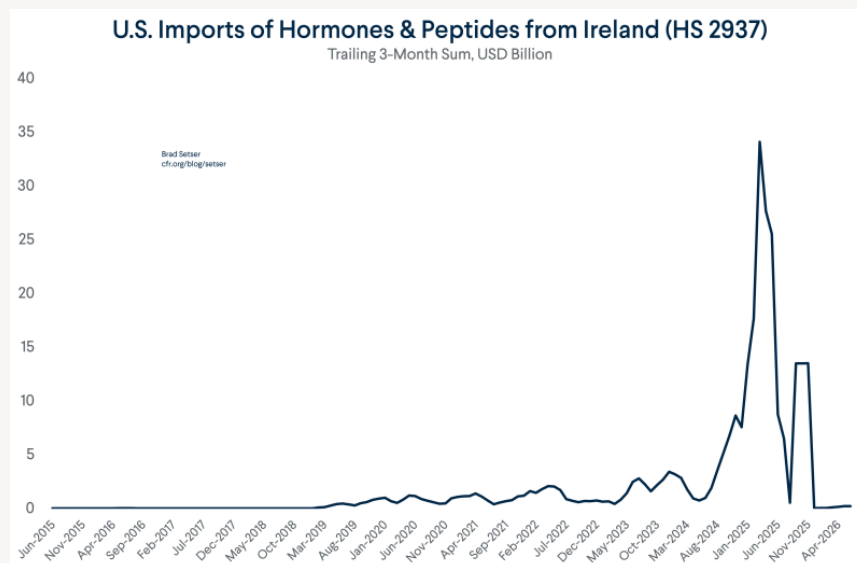
Now, Eli Lilly likely also played a bit of a tax game in (calendar year) 2025, as its Irish tax payments were unusually high.

Lilly and the other big pharmaceutical companies shipped to the United States back in the first quarter of 2025. Back then the pharmaceutical companies were petrified that President Trump might actually impose real tariffs on profitable American firms playing tax games abroad. Those tariffs though never



materialized. Firms did “deals” with the Trump administration instead.

But the threat of tariffs had a huge impact on the trade data—Lilly rushed to produce Mounjaro’s active ingredient in its Irish factories, and it then rushed the product to the U.S. ahead of the tariff deadline (there is a six-digit line item in the trade data that is more or less Mounjaro, for the curious). And it seems like Lilly’s Irish subsidiary booked the profit on its sales to Lilly U.S. ahead of any actual sale to U.S. consumers.***



The net result, obviously, was a big Irish tax liability. And a big windfall for Ireland’s Treasury, as Lilly displaced Pfizer as Ireland’s third largest corporate tax revenues.

The \$15 billion a year that these firms generally pay in tax in Ireland is real money, as they say (they paid



€13 billion in 2024 according the Irish fiscal council;
the 2025 number will be out soon).

Ask the top brass at the Pentagon. \$15 billion a year is probably three new attack subs, or five Arleigh Burke class destroyers (think mobile air defense systems). Or for several batteries of Patriots (if Raytheon can make them). Had those funds been paid to the U.S., it would not quite cover the cost of an aircraft carrier (costs have increased recently) but it would have come close. \$30 billion over two years is a carrier task force. Enough, in other words, to make the tradeoff between guns and butter a bit less acute.

That is simply from tax that firms are paying in Ireland on the profit from intellectual property largely developed in the United States.

And profit shifting remains a real problem.

That is what the Irish data from 2025 shows us. And there is no sign that 2026 will be much different.

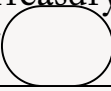
A lot of that is Apple and Microsoft.

Both have global profits will in excess of the total profits of all the large American pharmaceutical companies.



But Apple and Microsoft are essentially moving the profit from their foreign sales to Ireland. They still pay a decent amount of U.S. tax (as do Alphabet and Nvidia, which both U.S.-shored their intellectual property a few years back).****

The tax game of “Big Pharma” (the top six U.S. pharmaceutical companies by revenue) is a bit different. Most aggressively try to move the profit on their U.S. sales out of the U.S., which generally has required offshoring both their intellectual property and the actual production of the active ingredients for their most profitable drugs.

Back in 2023 and 2024, the top six U.S. pharmaceutical companies didn’t set aside anything to pay expected U.S. tax. They have pointed out (to me, and to Senator Wyden) that they did make cash payments to the U.S. Treasury, but those payments were the settlement of  pay tax liability on their

pre-2017 profit (don't ask, it is complicated—the key words are deferral and deemed repatriation).

In 2025, the major pharmaceutical companies did set aside a few billion dollars to pay U.S. tax. Eli Lilly doesn't seem to be quite as aggressive in sweeping profits out of the U.S. as its peers; it has consistently reported setting aside a bit of money to pay expected U.S. taxes on its global profit. Johnson and Johnson which historically has swept all its profit out of the United States, also had to set aside funds to pay U.S. tax as part of some litigation related tax gymnastics.

But make no mistake, Big Pharma continues to engage in aggressive forms of tax avoidance —and still pays almost nothing in U.S. tax. See the chart below.

And there is no evidence—at least, none that I see—that suggests any of the  deals have changed

the core tax structure of big pharma.*****

The top six generally still report losing money on their U.S. operations.

The big companies also generally report that the U.S. accounts for most of their revenue.

And they generally report that they make most of their money offshore (particularly if “special situations” like corporate reorganizations, mergers, and litigation set asides are left out). Just look at the firms’ own 10-Ks.

AbbVie reports losing \$3.5 billion in the U.S. and making \$10 billion abroad.

Pfizer reports just \$776 million in U.S. profit and almost \$7 billion abroad.

Bristol Myers Squibb reported a \$19 million loss in the U.S. and \$9.3 billion profit abroad.

Merck reported a \$5 billion loss in the U.S. and \$26 billion profit abroad.

Johnson and Johnson would be the same in a typical year. Back in 2024, it reported a \$500 million loss in the U.S. and \$17 billion profit abroad, but its 2025 tax liability was driven by the reversal of some litigation set asides (see page 69 of J&J’s latest 10-K).



Lilly seems to have a more balanced tax structure: in 2025, it reported making \$14 billion in the U.S. and \$12 billion abroad.

As a result, the leading U.S. pharmaceutical companies pay more in tax abroad than in the United States, with several firms setting aside nothing to cover their expected U.S. income tax liability.

In a normal year, without any corporate reorganizations or litigation related profits, only one of the top six would set aside a meaningful sum to pay U.S. tax. So, in a typical year, there would something like \$100 billion in profits and only a few billion set aside to pay expected U.S. tax.



This shows up in a couple of easily verifiable plots.

While Big Pharma is the most obvious case, the incentive to offshore jobs, production, and profits isn't limited to one sector.

In the technology sector, for example, a number of firms set aside much less than expected U.S.

corporate tax payments than would be expected given their large global profits.

Take a very strategic sector, the production of the equipment used to manufacture semiconductors.

Applied Materials reports making all its money abroad (almost certainly in Singapore, as noted in their 10-K, where Applied Materials “have been granted additional conditional reduced tax rates” which expire in fiscal 2030) and almost nothing in the U.S.



Lam Research also reports making all its income abroad, using Malaysia as its tax hub (from its 10-K: “Effective from fiscal year 2022, the Company has a 15-year tax incentive ruling in Malaysia for one of its foreign subsidiaries.”)

KLA is a bit more patriotic; it actually pays a bit of U.S. tax.

To be sure, none of this is in any way illegal. Every firm can honestly report that it pays all the tax that it is legally due.

The issue is the law, which continues to create “pay tax in America last” incentives, and often “produce in America last” incentives too.

This can and should be changed, likely through a bipartisan coalition that unites around a patriotic tax agenda.

* Most U.S. big pharma firms are still paying a bit of cash to the U.S. Treasury to settle their deferred international tax liability from the ere Tax Cuts and (Irish) Jobs Act; the cash tax paid thus exceeds the amount they set aside out of current profit for expected current tax. A few firms have tried to use this fact to obscure the fact that they don’t think they owe anything to the U.S. federal government out of their 2023 or 2024 profits.

** Alphabet and Nvidia benefit from the lower tax rate on foreign profits in the U.S. tax code; they aren’t paying tax on their foreign profits at 21 percent. But because their IP is in the U.S., the U.S. government gets the lion’s share of their tax paid. When the IP is offshore, the U.S. only gets a small top up tax.



**** Large groups with annual consolidated revenues of at least €750 million are subject to a 15 percent minimum effective tax rate under Pillar Two.

***** Gilead is much less aggressive in its profit shifting.

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The Renminbi Appears to be Undervalued by 30 Percent

China's official current account data understate the scale of its external surplus and, by extension, the degree of renminbi undervaluation.



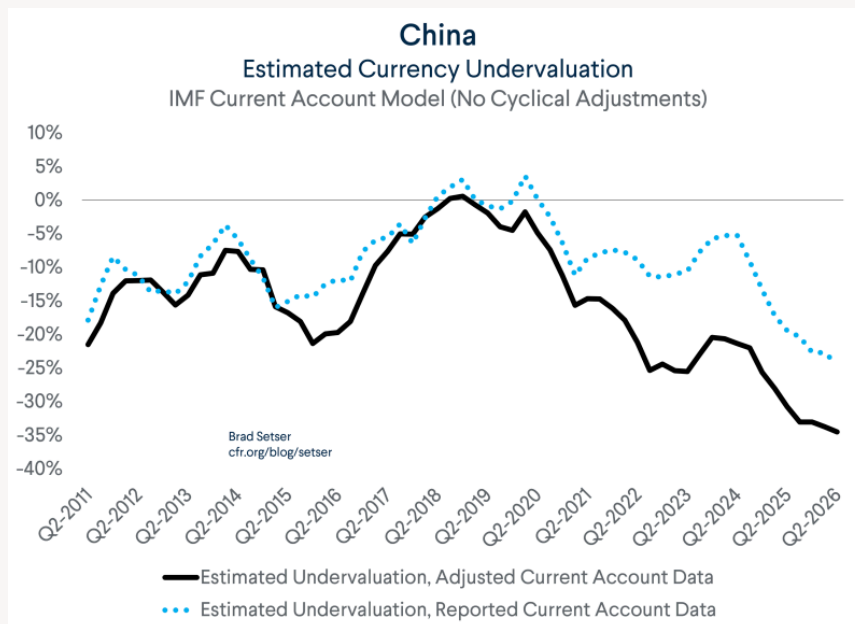
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Harvard's Dr. Gopinath (formerly of the IMF) asked about the basis for my estimate (in Greg Ip's excellent WSJ column) that the RMB is now undervalued by 30 percent.*



The simple answer: I used the IMF's own current account methodology but didn't take China's reported current account surplus at face value. I believe that the surplus is significantly understated, as it doesn't map to other known numbers about China's economy and trade performance.**

The IMF's current account gap methodology hinges on the difference between the observed current

the IMF (on the basis of demographics, levels of development, the net international investment position, and other variables). For China, that current account norm is now estimated at 0.6 percent of GDP (2026 ESR, Table 2.6)

A cyclical adjustment added 0.2 percent of GDP to the estimated norm for 2025. The end-2025 surplus was 3.8 percent of GDP. The 3 percent of GDP gap resulted in an estimated undervaluation of 21 percent as the IMF's work implies that a 7 percent move in the exchange rate (or equivalent changes in other policies) reduces the surplus by a percentage point of GDP.

A bigger surplus thus implies a bigger “gap” and a bigger estimated undervaluation (for a given constellation of policies).

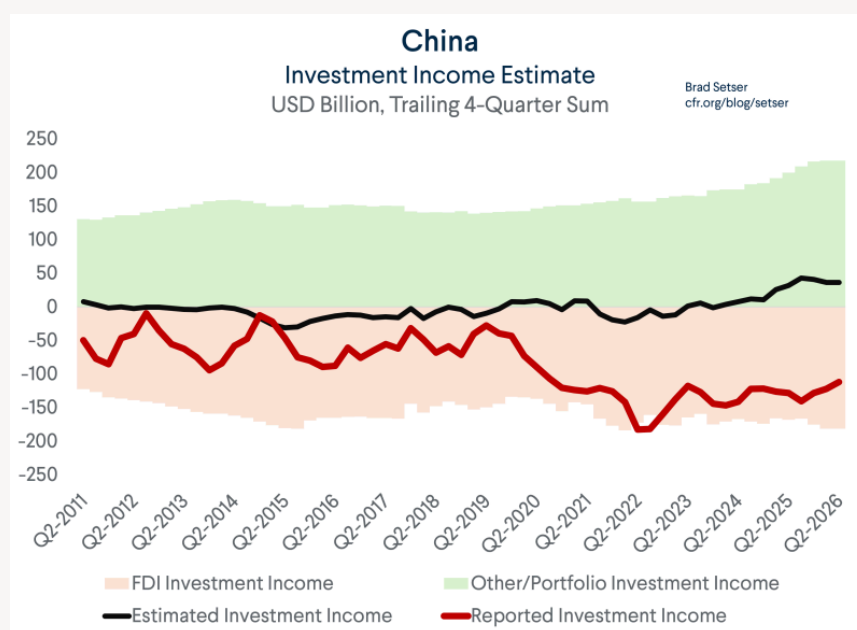
And I think the 3.8 percent of GDP surplus for end-2025, now up to 4 percent of GDP in the last four quarters of data, is understated. I am not the only one who thinks by the way; the raw customs data—adjusted for the observed deficit in travel services and the recent surge in gold imports—implies an overall surplus of close to 6 percent of GDP these days.

There are three reasons to believe that the reported current account surplus understates the scale of China's real surplus:



1. The reported investment income deficit makes no economic sense.

The reported deficit on investment income is very hard to understand. You don't have to take my word on this. The IMF looked into China's investment income balance and agreed (2025 ESR, Box 1.1). So did Ma and Wei.



The fact that China reports an investment income deficit of over \$100 billion with net foreign assets of over \$4 trillion isn't easily explained. Yes, there can be a difference in return on foreign direct investment in China and Chinese direct investment abroad. But with roughly equal levels of investment in both directions, that gap in returns on direct investment would need to be between 6 and 8 percentage points to offset the \$120-160 billion in interest income that would be expected on China's net holdings of foreign

conservative 3 to 4 percent interest rate (CDB and state commercial bank loans, if anything, should carry a higher rate, as the CDB lends at a big markup over the U.S. policy rate).

And there is no real evidence that foreign direct investors are earning a ton of money inside China these days. The auto companies certainly are not. Many have abandoned their Chinese JVs, or are using them primarily to supply global markets. The exception—Apple—actually proves the rule. Apple does have a nice business in China. But China's 2022 statistical adjustments should move Apple's returns out of the "direct investment" line as Apple's IP returns accrue to its Irish subsidiary, not its Chinese subsidiary, and into the balance of payments as a small goods deficit.***

The evolution of the investment income line item also doesn't make any sense. The investment income deficit increased a lot in 2019 and 2020. Certainly, interest rates were low globally in 2020. But that doesn't explain why the investment income balance remained in a large deficit even after global interest rates soared. The returns on China's large and growing external loan and bond portfolio should have soared, but they didn't. That makes no sense.

China in Q1 reported something like a 2 percent return on its foreign bonds and overseas lending. That doesn't compute, as SAFE eked out a 3 percent return in the 1st quarter 1990 after the CEC and gov

get more than that from a portfolio of five-year Treasury notes and five-year bunds.****

2. China started importing a ton of gold in 2026.

China's gold imports have gone from around 0.5 percent of GDP to 1.5 percent of GDP in a couple of quarters. That is strange—especially as China's rising interest in gold came as gold prices fell.

Gold is a strange import. If the gold isn't going directly to the central bank, it counts as an import even though it is often held as a financial asset. And if the gold is going directly to the central bank, it is counted as the purchase of a financial asset. Some even think SAFE is buying gold through domestic brokers as a means of shrinking the reported surplus. It thus isn't really controversial to move the gold import line out of the current account and over to the financial account.

3. China started fudging its balance of payments goods number when it changed its balance of payments methodology back in 2022.

That change is now statistically faded into the 2021 data as well.



The changes were in theory an attempt to implement the IMF's latest guidance (BPM6, which the U.S. hasn't done). While the IMF has recognized problems with China's reported investment income deficit, the IMF statistics department hasn't given an inch on the new goods data, and argues that China, unlike the U.S., has at least tried to follow its statistical guidance.

But China's actual implementation of the IMF's guidance was suspect to say the least. I covered this debate in detail a year ago ([Apple plays a large role in China's argument](#)). And the IMF refuses to assess whether the results of the new methodology are really an improvement over the results of the old methodology.

One of the adjustments that SAFE outlined to the IMF back in 2024—the “in China for China” adjustment for firms that don't have an onshore JV and rely on contract manufacturing—is in principle

reasonable. Moving Apple's profit out of income over to the BOP goods line would be consistent with Apple's treatment in the Irish balance of payments data, but it should have produced a \$20-\$30 billion change in the goods number, not a \$300 billion change. And moving Apple's "in China" profit from one line of the current account to another shouldn't have changed the overall current account numbers.

The other adjustment, which arbitrarily reduces exports in the balance of payments down relative to customs on a never demonstrated claim that contract manufacturers were inflating their exports in the customs data by using a firm's global wholesale price in customs rather than the amount actually received, simply doesn't check out. The IMF, to the best of my knowledge, has never looked into the details here either.

It is relatively easy to construct a consistent time series using China's pre-2021/22 methodology for calculating its balance of payments goods data (the standard adjustment moves insurance and freight charges over to services). The new methodology, at least until recently, really did lower the goods surplus, and thus the overall current account surplus.

There was clearly a massive downward adjustment to balance of payments goods for a while, without offsetting changes in other lines in the current account.



I was ginned up about this for a while. It really had a big impact on the 2023 and 2024 current account surplus numbers and thus changed the IMF's overall assessment of China. But—for complex reasons—the impact of this adjustment has shrunk, and it is now less significant than the investment income and gold distortions.***** See the grey and gold bars in the chart below.

When these factors are taken into account, I estimate that China's surplus should be around 5.5 percent of GDP—which, without the cyclical adjustment, works out to a 35 percent undervaluation (33 percent, with the cyclical adjustment).



I also used the IMF's methodology to estimate what the undervaluation should have been in the past (without the cyclical adjustment, as I cannot estimate that reliably).

The larger estimated undervaluation checks out against a range of other indicators.

The Big Mac Index (37 percent undervaluation).

Industry-specific cost comparisons. Greg Ip has a nice chart from Goldman. European auto analysts think China has a 30 percent edge in production costs.

It is also clear in China's export outperformance relative to global trade. And the breadth of this outperformance.

At the end of the day though, it doesn't currently matter too much whether the renminbi is

undervalued by 20 percent or 35 percent. There is consensus that there is a significant undervaluation.

Fixing that is, by far, the easiest way to address concerns about China's ever-rising trade surplus—and to get Xi to reconsider China's growth model and do more to support internal demand.

* Dr. Gopinath observes that the IMF's current account gap can be closed through a combination of exchange rate moves, domestic policy changes and changes in the international environment (i.e. slower demand growth abroad, slower growth in global trade), not just through exchange rate changes. That is a fair point. Though I would note that there isn't much evidence over the last 15 years that Chinese demand growth spills over into import demand. Think of an industrial policy for everything. Or, more

That implies the exchange rate, which does seem to impact export performance more than the IMF believed in the past, will need to do much of the work.

** The customs surplus can (and has been) checked against counterparty data. The travel deficit now broadly maps to observed tourism flows. And the reported NIIP is smaller than it should be given China's accumulated surpluses. The gross asset and liability position in the IIP data can nonetheless be used to generate an independent estimate of investment income (part of the current account).

*** I agree, for what it is worth. My concern is that China never showed its work, and there isn't any evidence that moving Apple's "in China" return over to the BOP goods line items was matched by offsetting adjustments to either the services line (if the "in China" profit was previously counted as a royalty to Apple Ireland) or the income line (if it was previously added to the income line, adding to China's deficit in FDI income). The current account impact of moving around Apple's \$20 to 30 billion "in China" profit should be zero.

**** The duration on China's visible holdings of Treasuries is a bit above the norm for reserve managers, and China holds a ton of U.S. Agency bonds (MBS), so it should get an above average return on its dollar reserves. SAFE isn't particularly risk averse.



***** I would like to think my efforts here had an impact on SAFE, if by nothing else making folks aware that there was an issue. But in reality, SAFE appears to be adjusting the BOP goods line to limit reported errors, and as the renminbi stabilized, settlement conversion increased, and the state banks started adding more to their financial assets, SAFE needed to report a higher current account surplus to map to the larger observed buildup of Chinese assets abroad.

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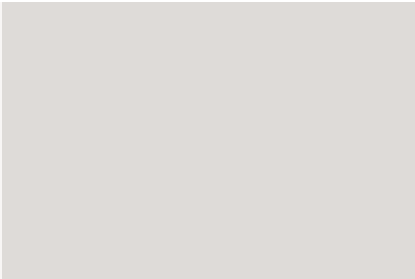
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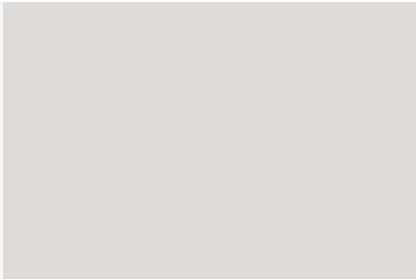
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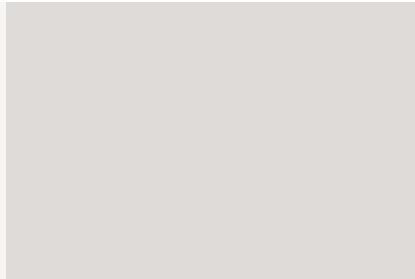
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